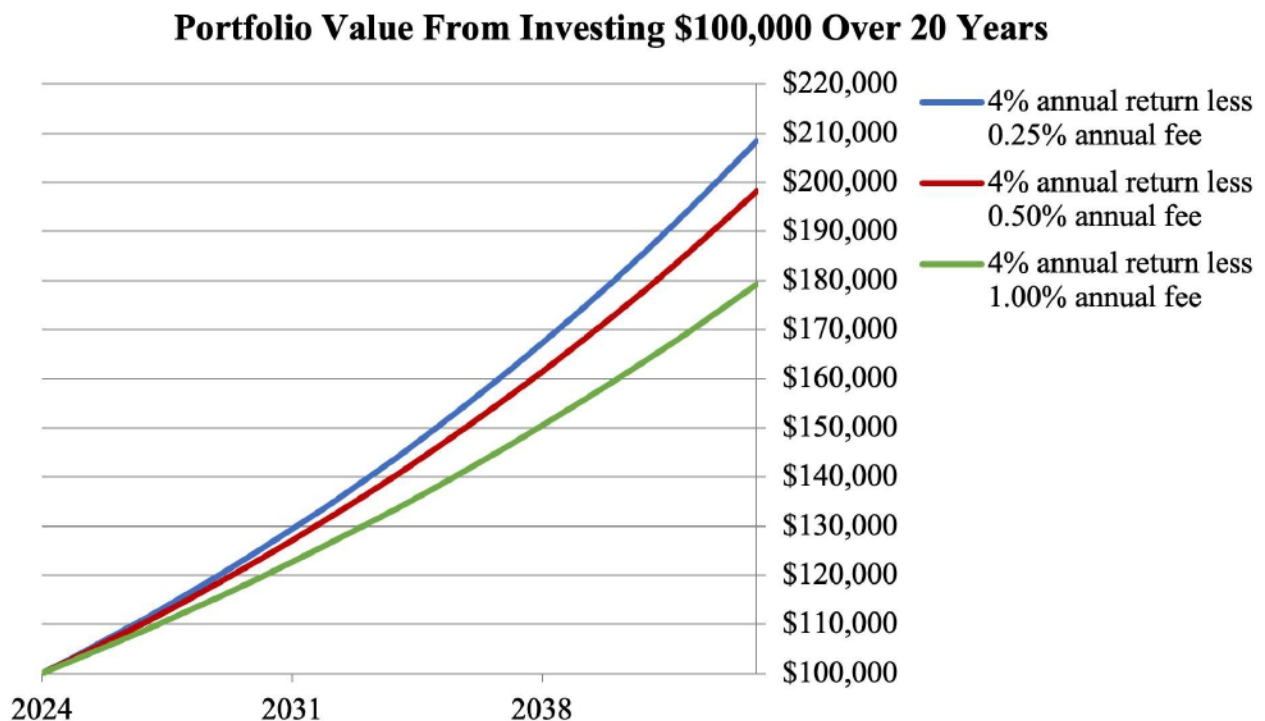


**Investor.gov****U.S. SECURITIES AND
EXCHANGE COMMISSION**

Understanding Fees

As with anything you buy, there are fees and costs associated with investment products and services. ***These fees may seem small, but over time they can have a major impact on your investment portfolio.*** Understanding the fees you pay is important to investing wisely.

The following chart shows the impact of three different fees on a \$100,000 investment that grows 4% annually over 20 years. Notice how the different fees affect the value of the hypothetical investment portfolio.



- The **blue** line represents the investment portfolio with an annual fee of 0.25%. At the end of 20 years, the portfolio would be worth approximately \$208,000.
- The **red** line represents the investment portfolio with an annual fee of 0.50%. At the end of 20 years, the portfolio would be worth approximately \$198,000.

- The **green** line represents the investment portfolio with an annual fee of 1.00%. At the end of 20 years, the portfolio would be worth approximately \$179,000.

The best advice we can give you about understanding fees and investing wisely is to ask questions. For example:

- What are the total fees to purchase and sell this investment?
- Are there ways that I can reduce or avoid some of the fees I'll pay, such as by purchasing the investment directly?
- How much does this investment have to increase in value before I break even?
- What are the ongoing fees to maintain my account?
- How do fees and expenses of the investment I'm considering compare to other investment products that can help me meet my investment objectives?
- For the investment professional: How do you get paid? By commission? By the amount of assets you manage? By another method? Do I have any choice on how to pay you? Should I pay you by the transaction, or pay a flat fee regardless of how many transactions I have?

Investment Products

[Mutual Fund and ETF Fees and Expenses – Investor Bulletin \(/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins/mutual-fund-and-etf-fees-and-expenses-investor-bulletin\)](#)

[How Fees and Expenses Affect Your Investment Portfolio – Investor Bulletin \(/additional-resources/news-alerts/alerts-bulletins/updated-investor-bulletin-how-fees-expenses-affect\)](#)

[Investor Bulletin: Mutual Fund Classes \(/additional-resources/news-alerts/alerts-bulletins/investor-bulletin-mutual-fund-classes\)](#)

[FINRA's Fund Analyzer \(link is external\) \(https://tools.finra.org/fund_analyzer/\)](#)

Investment Services

[Investor Bulletin: Brokers' Miscellaneous Fees \(/additional-resources/news-alerts/alerts-bulletins/investor-bulletin-brokers-miscellaneous-fees\)](#)

[Investor Bulletin: Opening An Investment Advisory Account \(/additional-resources/news-alerts/alerts-bulletins/investor-bulletin-opening-investment-advisory\)](#)

[Investor.gov/CRS \(/CRS\)](#)

[Investor Bulletin: How to Open a Brokerage Account \(/introduction-investing/general-](#)

[resources/news-alerts/alerts-bulletins/investor-bulletins-43](#))

[Subscription-based Advisory Fees: Investor Bulletin \(/introduction-investing/general-resources/news-alerts/alerts-bulletins/subscription-based-advisory-fees\)](#)

Common Fee Types

[Mutual Fund Fees and Expenses \(/additional-resources/general-resources/glossary/mutual-fund-fees-expenses\)](#)

[12b-1 Fees \(/additional-resources/general-resources/glossary/12b-1-fees\)](#)

[Distribution Fees \(/additional-resources/general-resources/glossary/distribution-fees\)](#)

[Sales Charge \(Or Load\) \(/additional-resources/general-resources/glossary/sales-charge-or-load\)](#)

[Redemption Fee \(/additional-resources/general-resources/glossary/redemption-fee\)](#)

[Exchange Fee \(/additional-resources/general-resources/glossary/exchange-fee\)](#)

[Account Fee \(/additional-resources/general-resources/glossary/account-fee\)](#)

[Purchase Fee \(/additional-resources/general-resources/glossary/purchase-fee\)](#)

[Management Fee \(/additional-resources/general-resources/glossary/management-fee\)](#)

[Shareholder Service Fees \(/additional-resources/general-resources/glossary/shareholder-service-fees\)](#)

[Total Annual Fund Operating Expense \(/additional-resources/general-resources/glossary/total-annual-fund-operating-expense\)](#)

What Should I Know About Investment Fees?

U.S. Securities and Exchange Commission



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